# Bargaining over Leasing Contracts: Strong by Privilege but Weak by Risk Aversion

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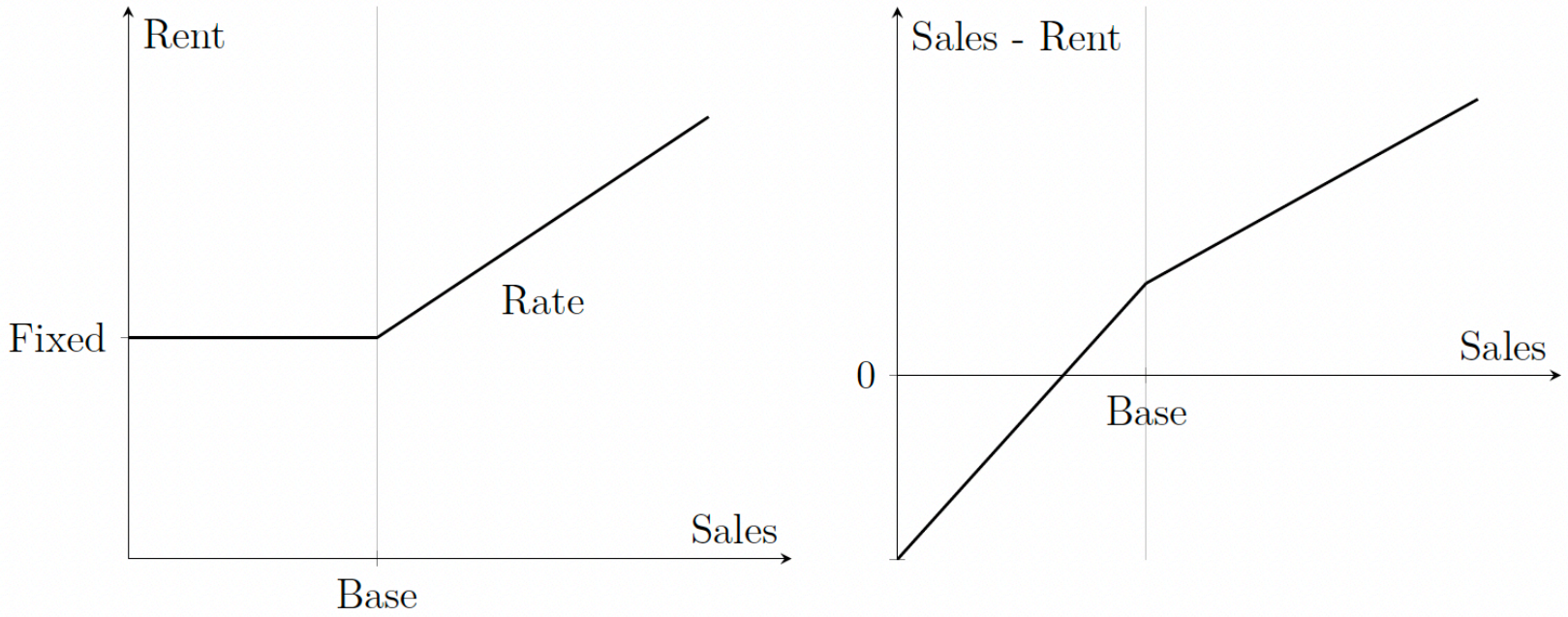
# (Un)fair Trading in Complex Transactions

- Fair trading benefits the economy, and regulators like the FTC enforce it
- How can they detect unfair practices? $\rightarrow$ Clear evidence is required
  - Recordings of collusive meetings
  - Certain contractual provisions, such as resale price maintenance
  - High markups: a large gap between price and cost
- Problem: Modern business transactions involve complex transfer schemes
- Examples:
  - *Share contracts* for long-term business relationships
  - In two-sided markets, price and cost structures are more nuanced
- Questions:
  - How does an unfair trading environment emerge in complex transactions?
  - What happens when regulators enforce fairer practices?

# Target: Tenant Contract in Shopping Mall

- A type of share contract is used when determining monthly rent




(a) Share of Shopping Mall (b) Share of Tenant

Figure 1. How Sales is Shared with Shopping Mall and Tenant

- Questions:
  - When the mall is stronger, what kind of shape is preferred?
  - In the more balanced transactions, how would the form change?

# This Study

- A model of bargaining over leasing contracts in renewal negotiations
  - Two-stage sequential bargaining between the mall and the tenant
    - "Bargaining over earnings estimates" and "Bargaining over risk sharing"
  - Fundamental conflict:
    - The tenant seeks to justify a higher earnings estimate
    - The mall relies on past sales data and prefers to adhere to it
- This model is applied to actual contract and sales data
  - My dataset tracks all tenants in two malls in Japan over six years
- Two opposing effects of the mall's privileged position on contract form
  - A privileged mall prefers variable rents and forgoes a higher fixed rent
  - A privileged mall is more risk-averse and favors a higher fixed rent
- Simulating fairer bargaining: the rent could triple the current level
  - In any cases, the total rent does not necessarily increase
  - A sharp rise in the variable component by risk attitude adjustments

# Related Literature

- Empirical bargaining (Lee et al., 2021)
  - Cooperative approach
    - Separating bargaining problem from power makes model tractable
    - Application: Bargaining under externality (Horn and Wolinsky, 1988)
  - Contribution: Bargaining over contracts
- Sources of bargaining powers
  - Rubinstein (1982), Joskow (1987), Benmelech and Bergman (2008)
    - Risk aversion, relational contract, and liquidation value
  - Recent empirical work: Backus et al. (2020)
  - Contribution: Better performance improves tenant's position
- Tenant leasing in shopping mall
  - Affine contract form is rationalized in agency problem: Benjamin et al. (1992), Brueckner (1993), Lee (1995), Monden et al. (2021).
  - Empirical work: Gould et al. (2005) analyze team problem in mall
  - Contribution: kinked contract form is analyzed

# Background

## Tenant leasing in a shopping mall

# Unfair Trade Practice in Tenant Contracts

- **United States**:
  - FTC enforced consent decrees against restrictive lease clauses (e.g. exclusivity) that block competition.
  - Recent cases (e.g. Simon Property) required removing "radius" restrictions preventing tenants from opening stores nearby.
  - Tenant lawsuits (Lord & Taylor vs. White Flint) show courts uphold lease terms and penalize unilateral changes.
- **Singapore**:
  - A Fair Tenancy Industry Code of Conduct sets standards for balanced lease terms.
  - Prevents landlords from using multiple rent formulas or imposing one-sided termination rights.
  - Government plans to legislate the code, ensuring compliance and dispute mediation.
- Many other cases for example in **South Korea** and **Japan**

# Shopping Mall Management and Renewal Negotiation

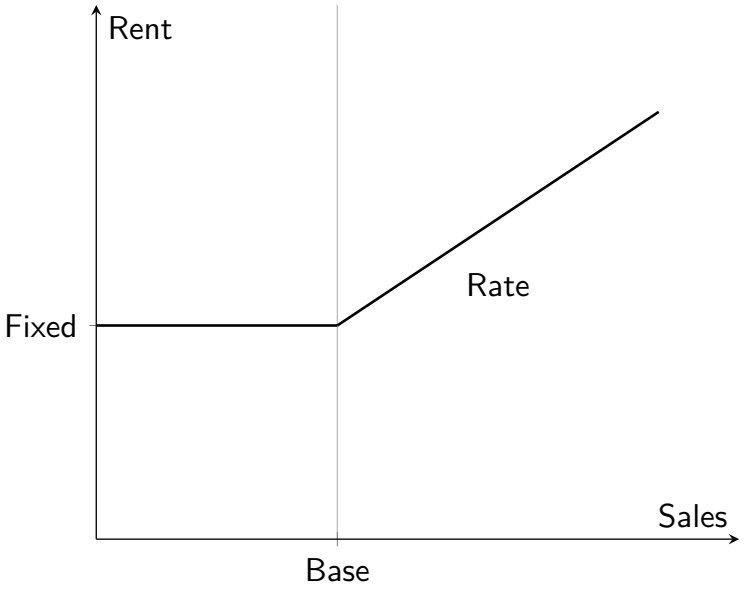
- A shopping mall is operated by a real estate company
  - It generates revenue through tenant rents
- Three phases of shopping mall management:
  1. Searching for new tenants
  2. Negotiating leasing contracts (including renewals)
  3. Maintaining relationships after tenants move in
- Negotiations are delegated to local managers and field staff
  - The company assigns a *manager* to each shopping mall
  - The manager assigns a *representative* to each tenant
- Typical flow of a renewal negotiation
  1. The shopping mall's initial offer: termination or a renewal proposal
  2. If termination is offered, this decision is non-negotiable
  3. Otherwise, negotiations on the terms of the new lease commence
  4. The tenant begins operations under the new leasing contract

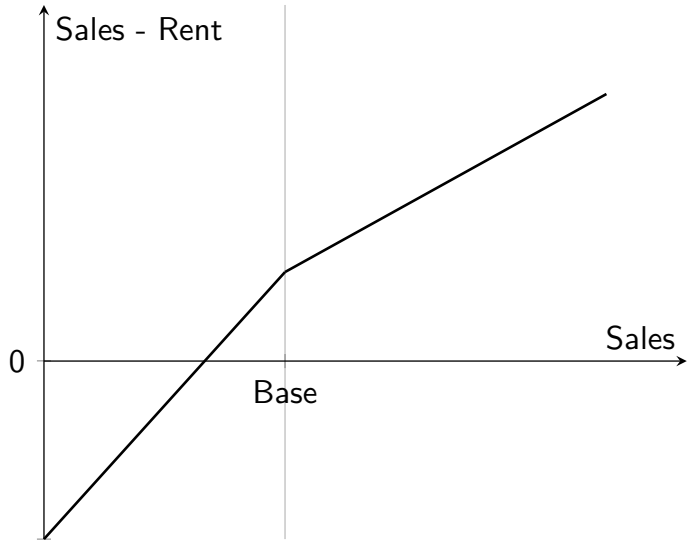
# Leasing Contract

- A leasing contract is composed of
  - lease duration, restoration obligations, and monthly rent structure
- Lease durations are typically set to a few years
  - After amortization, the duration is not a big issue for either side
- Restoration obligation is a condition that must be satisfied when exiting
  - A typical example is a skeleton exit
- Rent structure usually becomes a point of conflict. WHY?
  - Professionals say, *"Once expected sales are agreed upon, the rent is naturally determined by industry norms."*
  - Earnings estimate is their main issue

# Rent Structure

- Monthly rent is typically determined by a variant of share contract
  - Defined by parameters: *Fixed*, *Base*, *Rate*
  - Base = threshold where commission rate changes
  - Rate = commission rate after Base
- Fixed is hard to negotiate → Base plays a role in searching for a compromise




- General form of contract allows multiple kinks Go to all contracts

# Data

## Panel data linking performance and contract terms

# Data Source

- Data covers two shopping malls over 6 years (2017-2023)
  - Managed by same company, by different managers
  - Located in same region (Western region of Japan)
  - One in downtown (*Mall 0*), one in suburb (*Mall 1*)
- For them, we have the following two data sources:
  1. performance data
  2. contract data
- They are used for actual leasing operation of the management company

# Descriptive Stats

- 226 tenants
- They operate under 443 contracts: Avg. # of renewals is 1.00
- Avg. length of lease duration is 1830 days
- Contract terms vary a lot: All monetary values are scaled by $1,000$ JPY

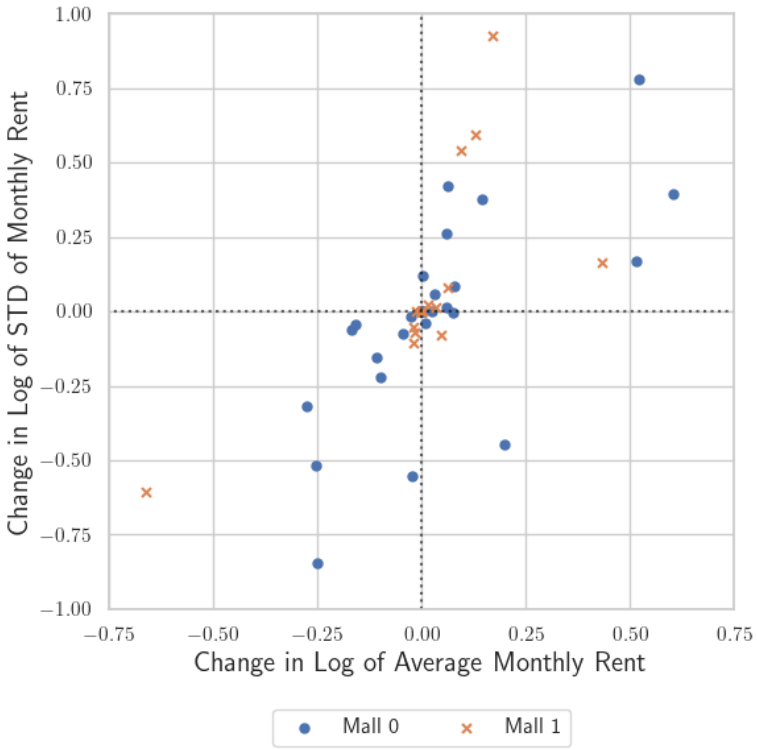
| | Mean | Std | Min | 25% | 50% | 75% | Max |
|---|---|---|---|---|---|---|---|
| Fixed per Area | 5.26 | 4.11 | 0.15 | 2.74 | 4.51 | 6.05 | 27.69 |
| Base per Area | 62.02 | 43.25 | 3.22 | 42.36 | 54.78 | 60.50 | 435.57 |
| Rate (%) | 0.91 | 0.30 | 0.20 | 0.80 | 1.00 | 1.00 | 3.50 |

- Commission part is non-negligible

| | Mean | Std | Min | 25% | 50% | 75% | Max |
|---|---|---|---|---|---|---|---|
| Avg. Variable Rent / Total Rent | 0.19 | 0.19 | 0.00 | 0.02 | 0.14 | 0.31 | 0.89 |
| Prob. of Sales over Base | 0.55 | 0.36 | 0.00 | 0.17 | 0.67 | 0.88 | 1.00 |

# Obs. : Risk Attitude Matters

- For all contracts:
  - Average monthly rent
  - Standard deviation of monthly rents
- Changes in these metrics over two successive contracts are plotted
- Higher rent must be accompanied by larger variance



# Obs. : Performance Affects External and Internal Margins

- External margin: Better performance → less exit
- Internal margin: Better performance → more rent
- Performance surely describes bargaining position but not perfectly

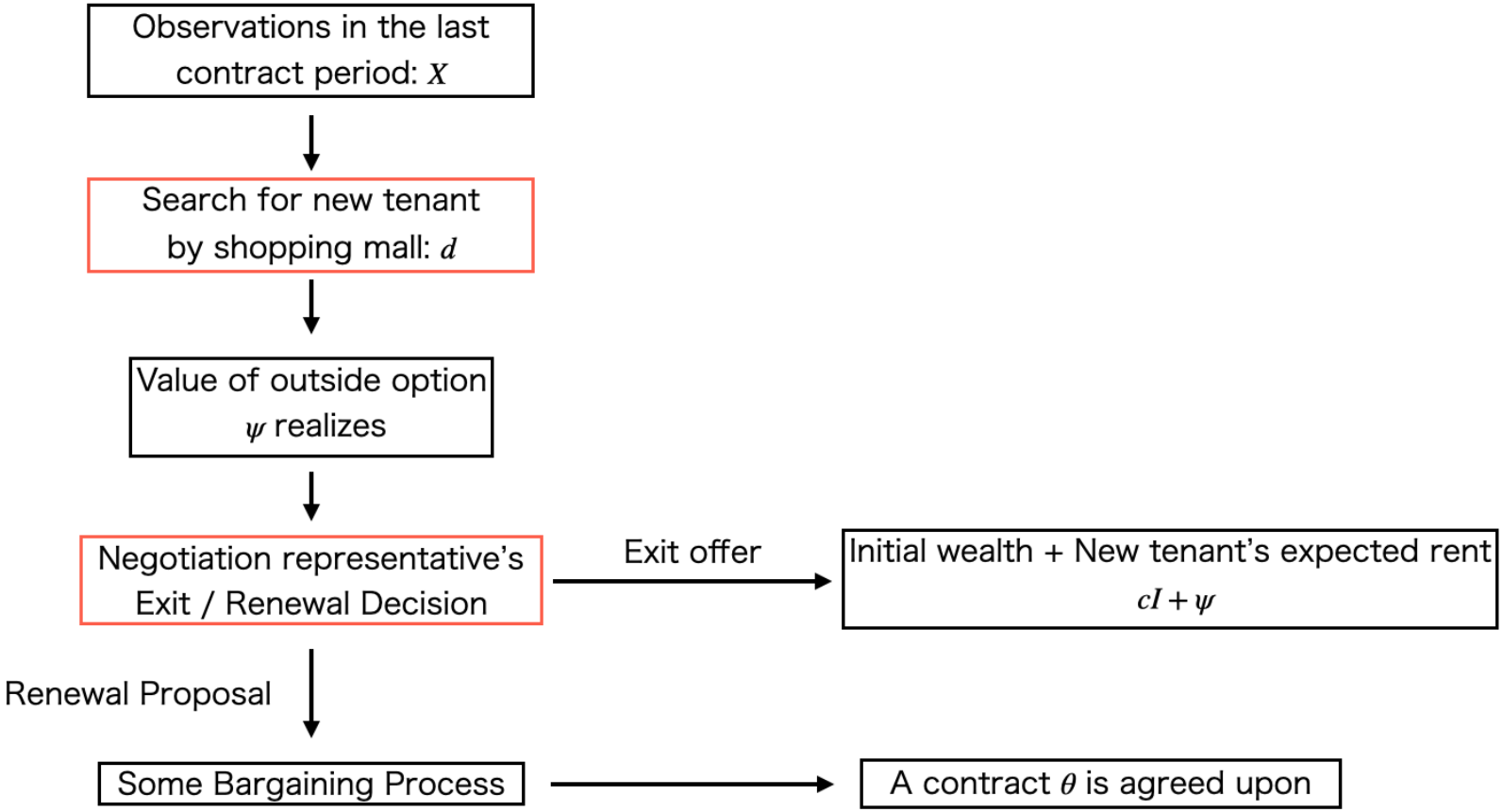
| | (1) | (2) | (3) | (4) | (5) | (6) |
|---|---|---|---|---|---|---|
| Dep. Var. | Exit | Exit | Exit | Rent Increase | Rent Increase | Rent Increase |
| Avg. Sales | -1.50e-09 | | | 0.000944* | | |
| | (9.78e-10) | | | (0.000536) | | |
| Avg. Sales per Area | | -1.02e-08 | | | 0.00341*** | |
| | | (7.19e-09) | | | (0.000601) | |
| Avg. Pct. from Bottom | | | -0.00406*** | | | 1258.5*** |
| | | | (0.000614) | | | (202.6) |
| fixed | -5.77e-08** | -5.90e-08** | -3.79e-08 | 0.161*** | 0.160*** | 0.160*** |
| | (2.63e-08) | (2.53e-08) | (2.40e-08) | (0.0253) | (0.0255) | (0.0251) |
| rate | 0.000108** | 0.000119** | 0.0000360 | 80.85*** | 67.87*** | 94.43*** |
| | (0.0000541) | (0.0000513) | (0.0000499) | (12.01) | (9.701) | (11.99) |
| area | 0.000401 | -0.0000225 | -0.000190 | 1560.5*** | 1802.5*** | 1918.0*** |
| | (0.000311) | (0.000148) | (0.000169) | (237.2) | (306.5) | (319.8) |
| $N$ | 285 | 285 | 285 | 11820 | 11820 | 11820 |
| adj. $R^2$ | 0.021 | 0.018 | 0.145 | 0.384 | 0.383 | 0.392 |

# Model

Sequential bargaining:

earnings estimate and risk sharing

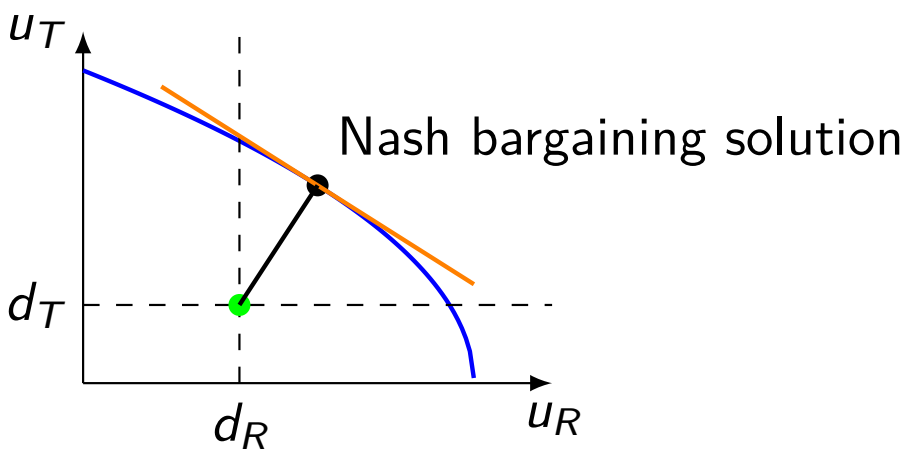
# Model Overview



# Two Bargainings

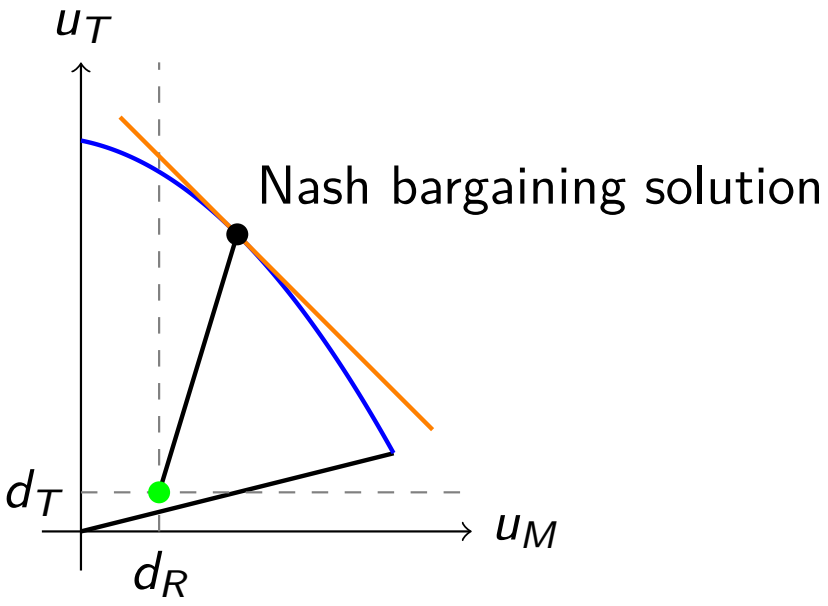
- Rent structure specifies how the sales generated in the space is divided
  - Parties face risk and uncertainty
  - Sales $S \sim N(\mu, \sigma^2)$: $\mu$ is unknown and $\sigma^2$ is known
- The two issues are sequentially bargained
  - First: *Bargaining for earnings estimate*
    - Negotiation over $\mu$
    - Involved parties: mall manager, $M$, and tenant, $T$
  - Second: *Bargaining for risk sharing*
    - Negotiation over contract terms given $\mu$
    - Involved parties: mall's representative, $R$, and tenant $T$
- I do not model incomplete information bargaining
  - I focus on what happens when power balance changes,
  - Not on how the balance is determined
  - Such model is hard to use for empirical analysis due to multiple equilibria

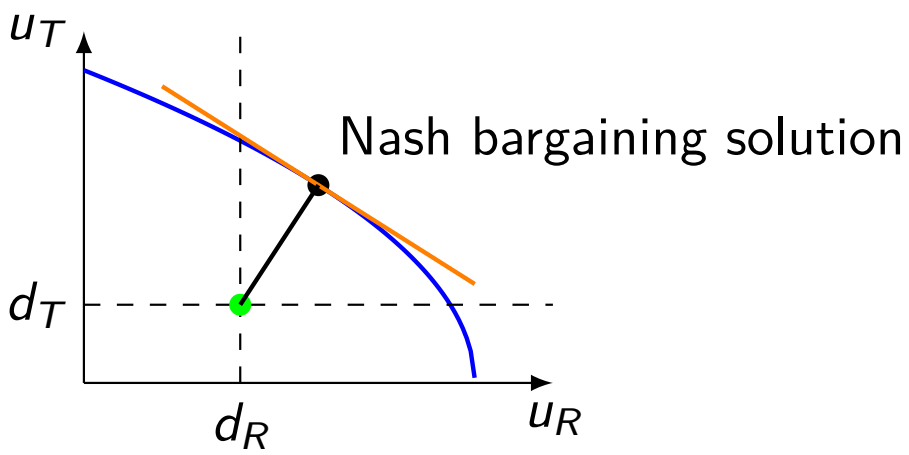
# Nash Bargaining Solution




- Primitives:
  - Preferences of both parties, determining bargaining frontier
  - Bargaining power ratio
  - Break-up point
- Outcome: Surplus split between parties

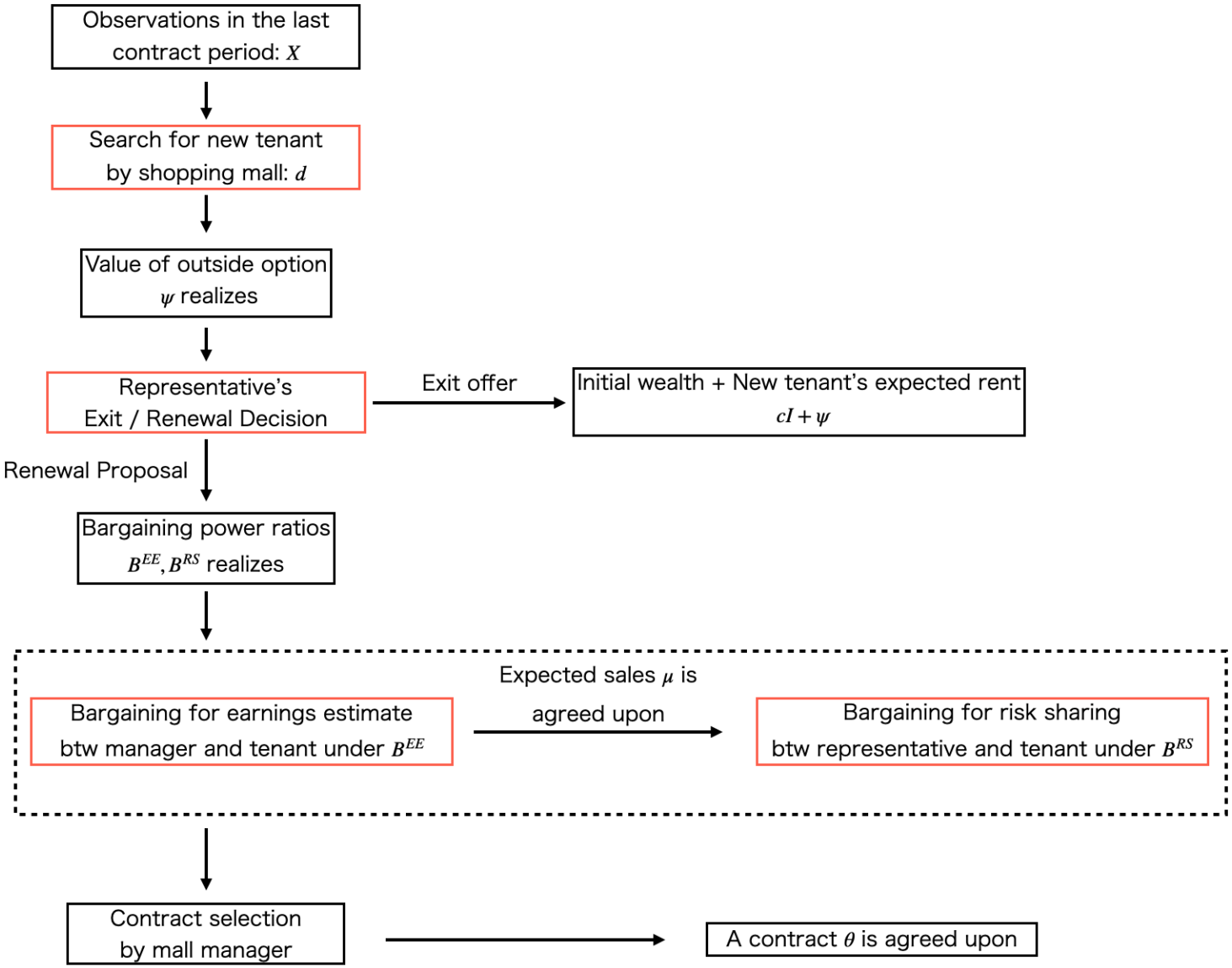
# Nash-in-Nash Solution for Interrelated Bargainings




- Outcome of first bargaining (left figure) affects the bargaining frontier of the second bargaining (right figure)
- *Nash-in-Nash solution*:
  - Different bargaining powers are given: their ratios are $B^{EE}, B^{RS}$ for each
    - $B = \frac{\text{Bargaining power of Mall}}{\text{Bargaining power of Tenant}}$
  - First bargaining is solved in expectation of the following outcome

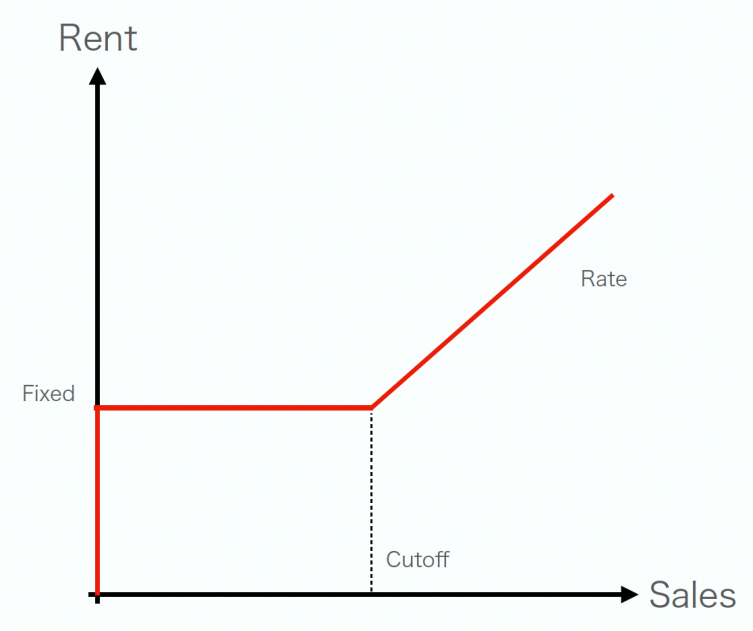
# Model Overview



# Rent Structure

- $\Theta$ is the parameter space of mixed-type contract: $\theta = (f, b, r) \in \mathbb{R}^3_+$
  - $f$ is Fixed, $b$ is Base, and $r$ is Rate
- The monthly rent is computed as follows

$$R(S; \theta) = f + r \times \max\{0, S - b\}$$



# Preferences

- Tenant, denote by $T$: $U_T(S;\theta) = -e^{-\rho_T(S-R(S;\theta))}$
- Representative, denoted by $R$: $U_R(S;\theta) = -e^{-\rho_R(I+R(S;\theta))}$
  - $I$ is the initial wealth of the shopping mall
- Manager of the mall, denoted by $M$, sticks to the realized sales information:
  - Reference point: $\hat{u}_R \equiv U_R\left(\hat{\mu};\hat{\theta}\right)$
    - $\hat{\mu}$ is average of realized sales in the past contract period
    - $\hat{\theta}$ is the past contract terms
  - $U_M(\mu,\theta;X) = \mathbb{E}_{S\sim N(\mu,\sigma^2)}\left[U_R(S;\theta)\right] - \lambda\left(\mathbb{E}_{S\sim N(\mu,\sigma^2)}\left[U_R(S;\theta)\right] - \hat{u}_R\right)^2$
    - "Reference utility ($\hat{u}_R$) + bias term ($\frac{1}{2\lambda}$)" is the best expected utility of R
    - M sticks to $\hat{u}_R + \frac{1}{2\lambda}$
    - Deviation from this point reduces the utility

# Summary of Theoretical Analysis

- Assumption: $B^{RS} = \frac{\rho_T}{\rho_R}$ from Roth and Rothblum (1982)
  - More risk averse mall = Weaker in the bargaining for risk sharing
- Affine contract and mixed-type contract have the same bargaining set
  - Explicit bargaining frontier and Nash-in-Nash solution Go to example
- Byproduct: the model is *incomplete*
  - There are the set of equilibrium mixed-type contracts
  - For empirical analysis, we need to estimate *contract selection rule*
- Both $R$ and $T$ like higher $\mu \rightarrow$ Over optimistic contract if fully delegated
  - Optimal institutional design: the authority over $\mu$ is left to the manager
- Fundamental conflict in the bargaining for earnings estimate:
  - T likes higher $\mu$ / M dislikes too much deviation from the past realization
  - Stronger mall = Smaller $\mu$

# Risk Sharing: Bargaining Frontier

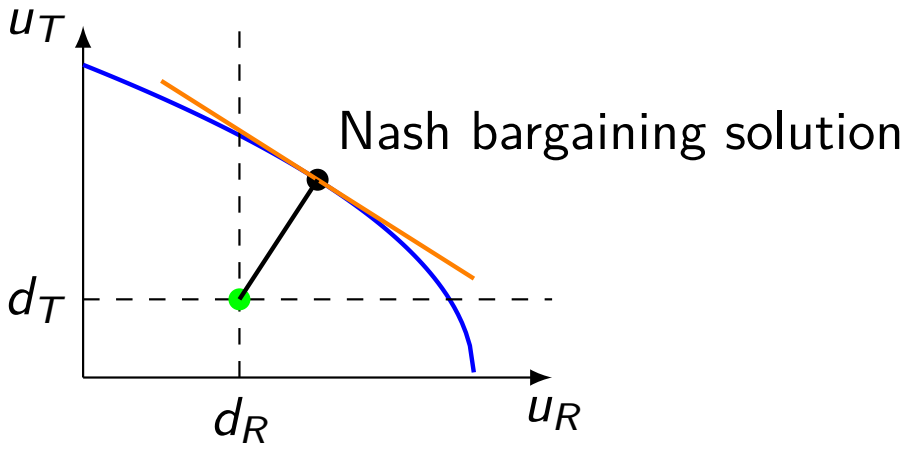
- Frontier is obtained by solving the below maximization: for every $u_R$

$$\max_{\theta \in \Theta} \mathbb{E}\left[U_T(J + S - R(S;\theta))\right]$$
$$\text{s.t. } \mathbb{E}\left[U_R(I + R(S;\theta))\right] \geq u_R.$$

- Issue: $R$ includes a kink, making it challenging to solve analytically
- Solution:
  - Affine contract and mixed-type contract have the same bargaining set
  - Solve the same maximization in the space of affine contract
- Byproduct: the model is *incomplete*
  - There are the set of equilibrium mixed-type contracts
  - For empirical analysis, we need to estimate *contract selection rule*
- The bargaining frontier

$$F(u_R) = -e^{-\rho_T\left(I+\mu-\frac{\rho_T\rho_R}{\rho_T+\rho_R}\frac{\sigma^2}{2}\right)}\left(-u_R\right)^{-\frac{\rho_T}{\rho_R}}.$$

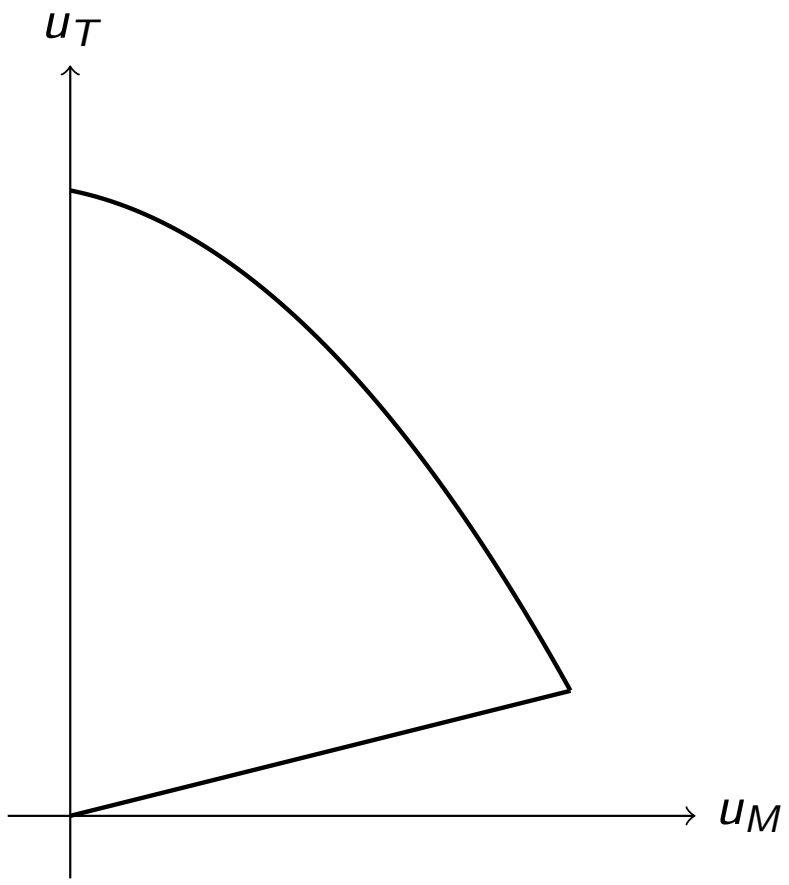
# Risk Sharing: Nash Bargaining Solution



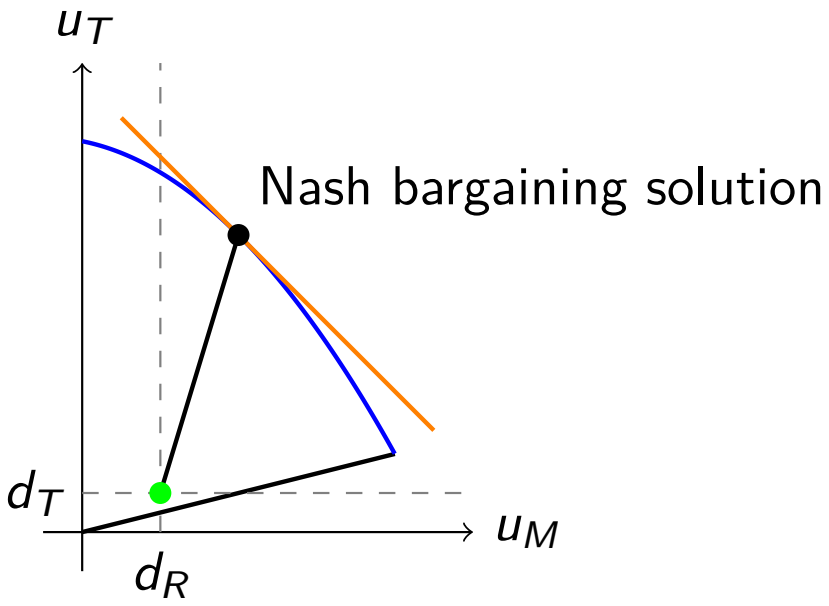

- Nash bargaining solution is determined by three objects:
  - Breakup point: $d_R = -e^{-\rho_R cl}$, $d_T = -e^{-\rho_T 0} = -1$
  - Frontier specified for each $\mu$
  - $B^{RS}$: Assumption $B^{RS} = \frac{\rho_T}{\rho_R}$ (Roth and Rothblum, 1982)
- Both $R$ and $T$ like higher $\mu \rightarrow$ Over optimistic contract if fully delegated
  - Optimal institutional design: the authority over $\mu$ is left to the manager

# Earnings Estimate: Bargaining Frontier

- Expected utility of manager: $u_M(\mu) \equiv u_R(\mu) - \lambda \left(u_R(\mu) - \hat{u}_{NR}\right)^2$
- Bargaining set = Locus: $\{(u_M(\mu), u_T(\mu)) \mid \mu \in \mathbb{R}_+\}$
  - For any $\lambda > 0$, there is some $\underline{\mu}$ such that $\frac{d}{d\mu} u_M(\mu) < 0$ when $\mu \geq \underline{\mu}$

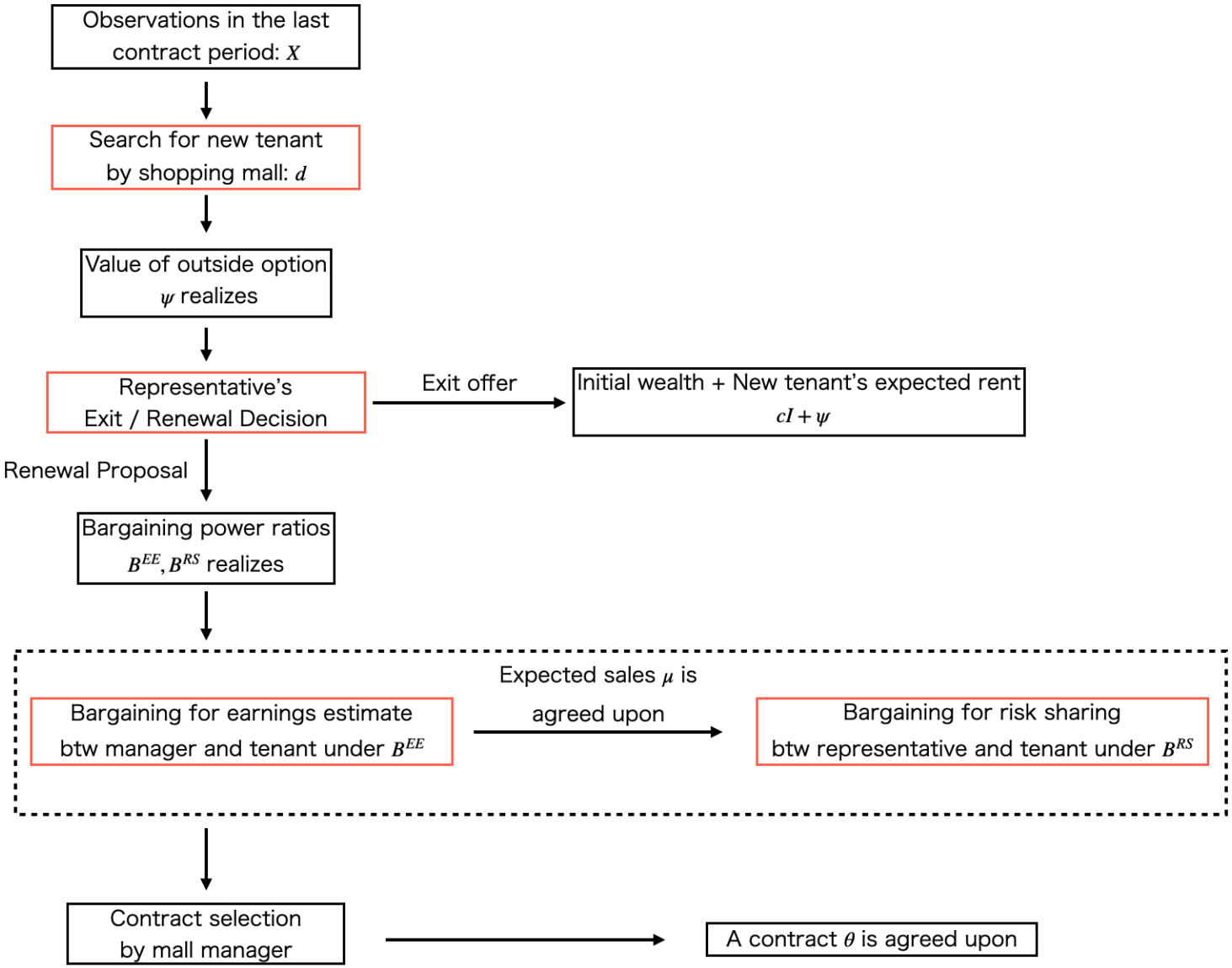


# Earnings Estimate: Nash Bargaining Solution




- Breakup point is set to the same as before
- $B^{EE}$ is exogeneously given (no assumption on the value)
- The model has explicit form of the surplus split: $u_T, u_R$ and $u_M$

# Model Overview



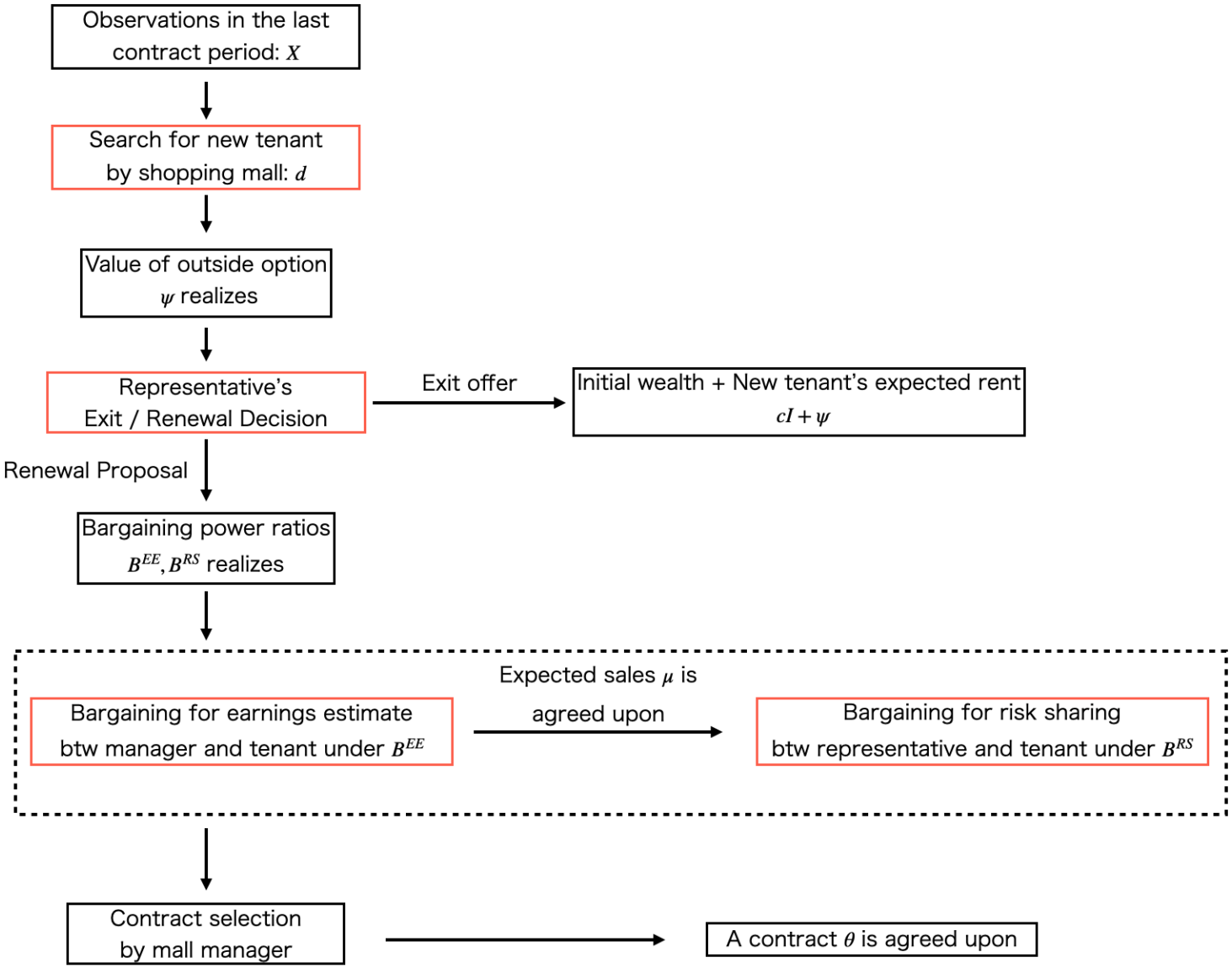
# Continuation Decision

- Representative decides either termination or continuation
- "Expected surplus from renewal" vs "Value of outside option"

$$\mathbb{E}\left[u_R \mid \psi\right] > -e^{-\rho_R(cl+\psi)}.$$

  - $\psi$ : monetary value of outside option
  - Expectation is taken w.r.t. $B^{EE}$: information gap between $M$ and $R$
- Exit offer is almost non-negotiable Go to offer/outcome table

# Model Overview



# Value of Outside Option

- Search intensity ($d$): the count of the meeting with potential tenants
- $d$ affects $\psi$

$$\psi = \tilde{\psi} + \beta_o d$$

  $\tilde{\psi}$ is the baseline value of outside option

- Endogeneity: Better outside option might decrease the search intensity
  - $\tilde{\psi}$ and $d$ are simultaneously determined
  - No full model, just a correlation structure $\rightarrow$ *Control function approach*

# Empirical Strategy

## Tobit model

# Variables

- An ongoing contract is denoted by a pair of $i$ (tenant) and $k$ (mall)
- Any contract is numerated with the contract number $\tau$ starting from 1
- Contract period (in months) is denoted by $T_{ik\tau}$
- Performance is measured for every months: $\tilde{X}_{ikt}$ for $t \in \{1, \cdots, T_{ik\tau}\}$
  - Main measure: *rank of sales per area within a mall*
- For an ongoing contract, we make a measure of performance:

$$X_{ik\tau} = \frac{1}{T} \sum_{t=1}^{T_{ik\tau}} \tilde{X}_{ikt}$$

  - the average of the performance measure during the contract period

# Parametrization: Bargaining Power Ratio

- Logarithm of bargaining power ratio

$$\ln B_{ik\tau}^{EE} = X'_{ik\tau}\gamma + \varepsilon_{ik\tau}^{EE},$$

  - three variables relating with tenant; such as *rank of sales per area*
    - *area of the tenant*
    - *average of the previous sales per area*
    - *average of the previous ranking of sales per area*
  - Four variables depending on the shopping mall; such as *mall total sales*
    - *average of the previous mall total sales*
    - *average of the total number of tenants in the previous lease*
    - *average of the total number of customers in the previous lease*
    - *average of the monthly new tenant searches in the previous lease*
  - $\varepsilon_{ik\tau}^{EE}$ is unobserved factor

# Parametrization: Value of Outside Option

- $\psi$ basically captures the market demand for the retail space
- $\psi$ is determined by three parts:
  - public information regarding the retail space, $Z$
  - search behavior conducted by the shopping mall, $d$
  - disturbance capturing the market's unobserved demand, $\tilde{\epsilon}^o$
- $W$ : IV for search intensity $\rightarrow$ tenant specific performance measure
- Linear model (Petrin and Train, 2010, Wooldridge, 2015):

$$\psi_{ik\tau} = \left(Z'_{ik\tau}\gamma_o^{\psi} + \varepsilon_{ik\tau}^o\right) + \beta_o d_{ik\tau}$$
$$d_{ik\tau} = Z'_{ik\tau}\gamma_o^d + W'_{ik\tau}\delta + \nu_{ik\tau}^o$$
$$\varepsilon_{ik\tau} = \kappa\nu_{ik\tau}^o + \tilde{\varepsilon}_{ik\tau}^o$$

  - $\tilde{\varepsilon}_{ik\tau}^o$ is an exogeneous shock to the value of outside option
- Two random terms are i.i.d. joint Normal: $(\epsilon^{EE}, \tilde{\varepsilon}^o) \sim N(0, \Sigma)$

# Estimation

- Estimation is conducted separately for the two shopping malls
- Two steps:
  1. Control function approach to make "reduced form" of outside option
  2. Tobit model to estimate all the parameters

# Estimation: Control Function Approach

- Regression: $d_{ik\tau} = Z'_{ik\tau}\gamma_o^d + W'_{ik\tau}\delta + \nu_{ik\tau}^o$
- Obtain residual $\hat{\nu}_{ik\tau}^o$
- "Reduced form" equation for $\psi$ is

$$\psi_{ik\tau} = Z'_{ik\tau}\gamma_o^\psi + \beta_o d_{ik\tau} + \kappa\hat{\nu}_{ik\tau}^o + \tilde{\varepsilon}_{ik\tau}^o$$

  - Treat $\hat{\nu}_{ik\tau}^o$ as an observed variable

# Estimation: Tobit Model

- Likelihood function is constructed as in Tobit model:

$$\text{Likelihood} = \begin{cases} Pr(\text{observe contract } \theta_{ik\tau}) & \text{if continuation} \\ Pr(\text{exit}) & \text{otherwise} \end{cases}$$

- Maximize log-likelihood under the constraint of Nash bargaining solution
  - Expected sales $\mu_{ik\tau}$ is endogeneous

# Identification

- Two sets of parameters
  1. Common across tenants within a mall
     - risk aversion of mall and marginal effects of covariates etc
  2. Contract-specific
     - Risk aversion of tenant: $\rho_{i\tau}$
     - Agreed upon expected sales (endogeneous parameter): $\mu_{ik\tau}$
- The first set is identified by the variation of exit offer
  - The second group is removed from the continuation decision
  - WHY?
    - Assumption $B^{RS} = \frac{\rho_T}{\rho_R}$ eliminates $\rho_R$ from the decision
    - Cooperative approach allows me to parametrize $B^{EE}_{ik\tau}$ determining $\mu_{ik\tau}$
- The second set is identified by conditions of Nash solution
  - Two agents $\rightarrow$ Two surplus expressions $\rightarrow$ Two conditions

# Results

Decompose bargaining power
&
Simulate fair contract

# Mall 0 is more privileged but more risk averse

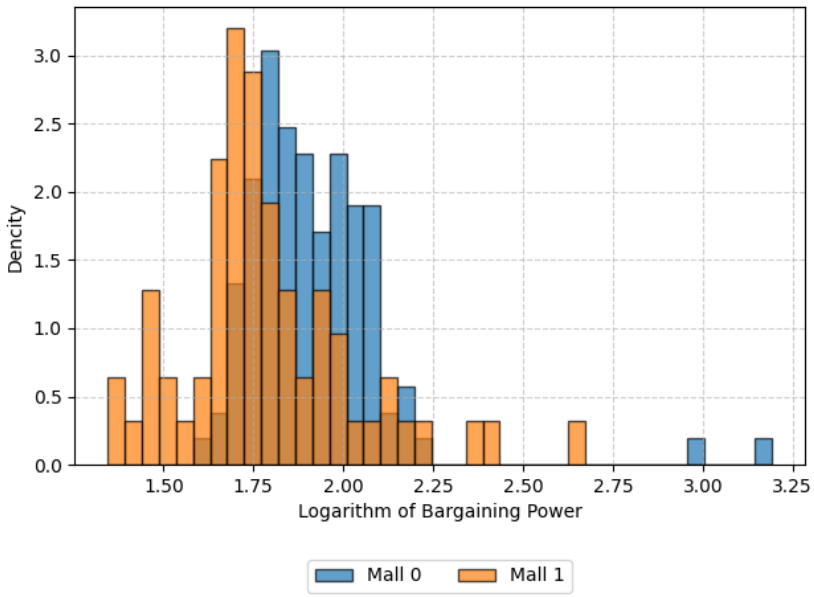



Figure: ln $B^{EE}$

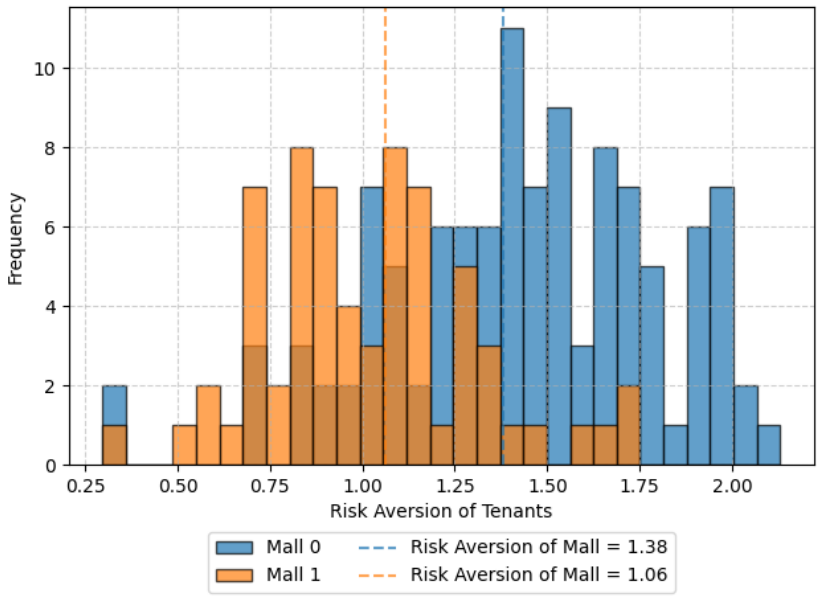
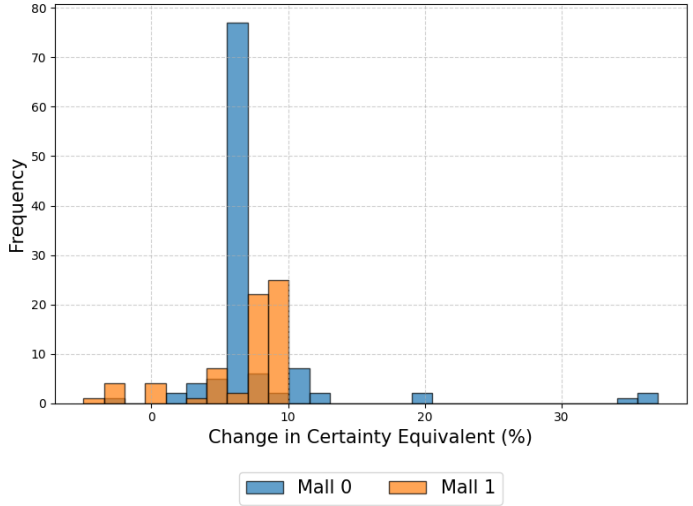



Figure: Risk aversions: $\rho_T$ and $\rho_R$

- Mall 0 is more privileged due to high-traffic area
  $\rightarrow$ Earnings estimate is set to lower value
  $\rightarrow$ Commission component does not yield much rent
  $\rightarrow$ Mall manager emphasizes Fixed, i.e., she becomes more risk averse

# What makes mall strong?

- Static characteristics
  - More number of total tenants in the mall
  - More number of total customers purchasing in the mall
  - Tenant located in the smaller retail space
- Time-varying characteristics
  - Tenant's lower rank in terms of sales per unit area within the mall
- Time-varying components are significant
  - Simulate static version of $B^{EE}$
  - Remove all the effects from time-varying variables from $B^{EE}$
  - Change in certainty equivalence relative to the actual surplus
  - About 10% varies by such variables



# Inspection of Contract Selection Rule

- Empirical analysis on contract term = Estimate contract selection rule
- SUR model for the three parameters, Fixed, Base, and Rate

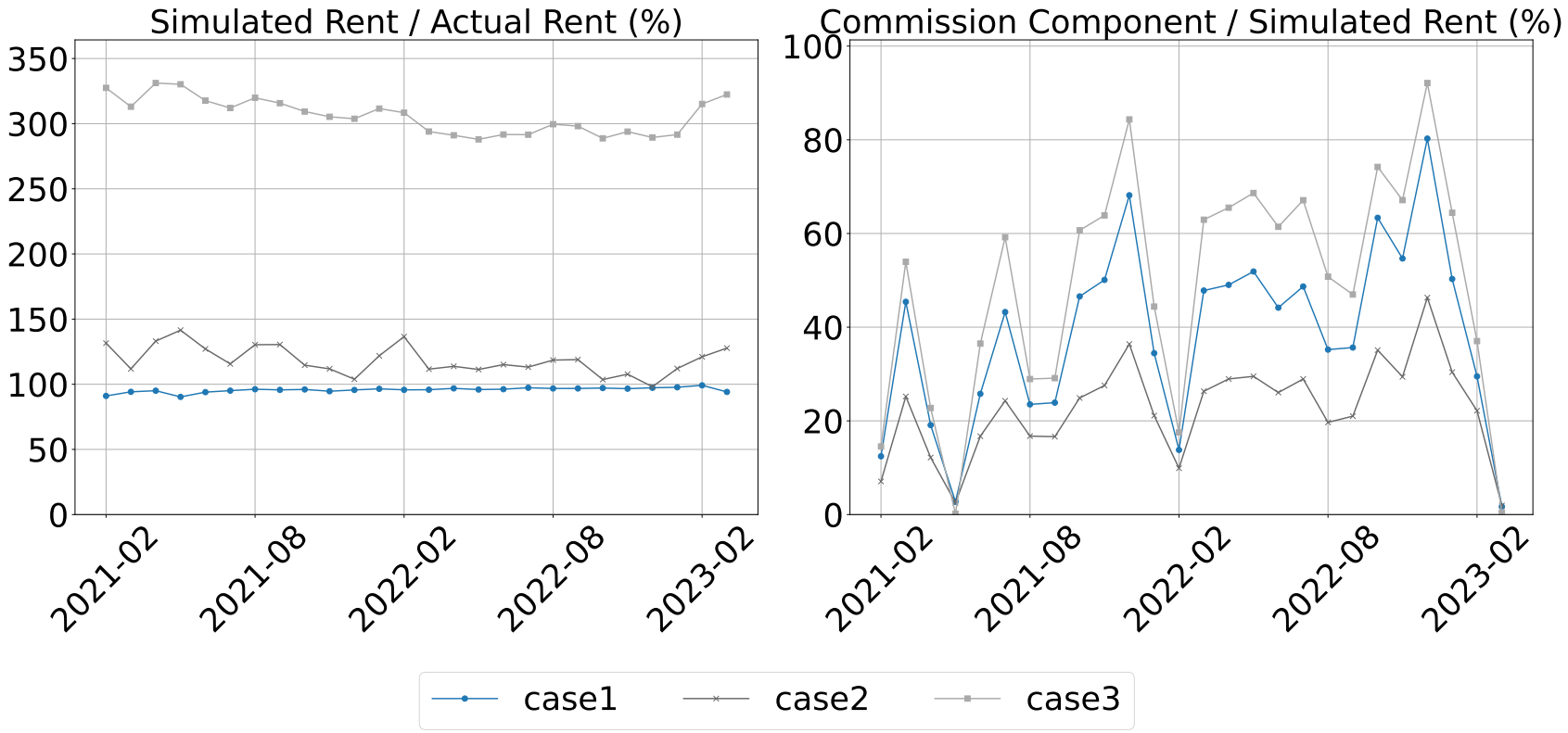
$$\begin{pmatrix} Fixed \\ Base \\ Rate \end{pmatrix} \sim \text{Bargaining Powers} + \text{Covariates} + \begin{pmatrix} \epsilon_f \\ \epsilon_b \\ \epsilon_r \end{pmatrix}$$

- Findings:
  - Privilege (Higher $B^{EE}$) leads to smaller fixed and higher base
    - WHY: Privileged mall is more pessimistic about earnings estimate
  - Contract selection rule itself is consistent with risk attitude
    - Mall 0 (Risk averse): Large volatility $\rightarrow$ Higher Fixed
    - Mall 1 (Risk loving): Higher average sales $\rightarrow$ Higher base and Higher rate

# Counterfactual Simulation of Fairer Trade

- Situation:
  - Mall 0 potentially abuses its privilege when making contracts
  - Regulator enforces the fairer bargainings in renewal through warnings
- Question: How the amount of rent and its composition change?
  - Why is this an empirical question? $\rightarrow$ Two paths exist
    1. Weaker positions $\rightarrow$ Higher earnings estimate $\rightarrow$ Larger fixed rent
    2. Weaker position $\rightarrow$ Less risk averse $\rightarrow$ More commission component
- Scenarios:
  - Case 1: Replicate actual rents
  - Case 2: Mall 0's $B^{EE}$ is determined in the same way as in Mall 1
  - Case 3: Case 2 + Mall 0's risk aversion is set to the same value of Mall 1

# Counterfactual Monthly Rents




- Even in Case 2, the fairer situation does not always yield less rent
- In Case 3, I find sharp increase in commission component
- This increase could triple the amount of rent

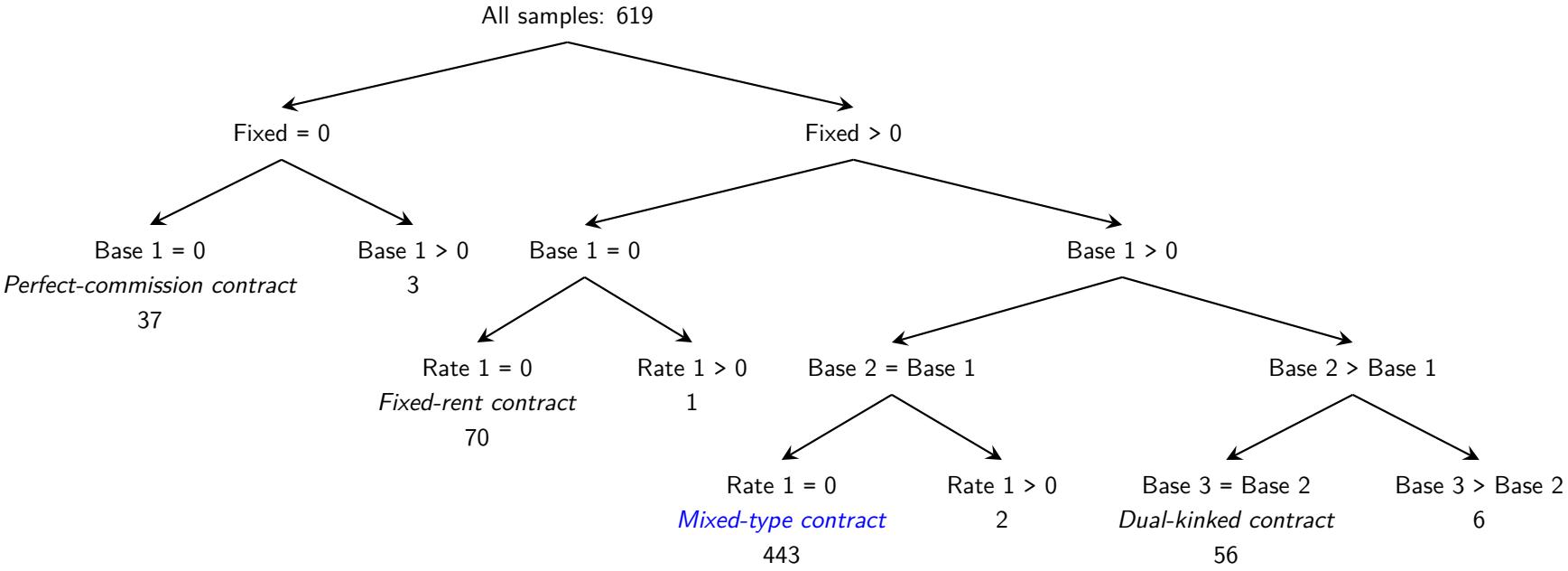
# Conclusion

- I analyze tenant contracts in shopping malls
- I find that fair bargaining has a complex influence on contract terms
  - A weaker-positioned mall may adopt riskier contract terms
- Regulators must be cautious when intervening in contract negotiations
  - Such interventions may lead to unexpected changes in contract terms
  - ... and the following transfers among them

# Appendix

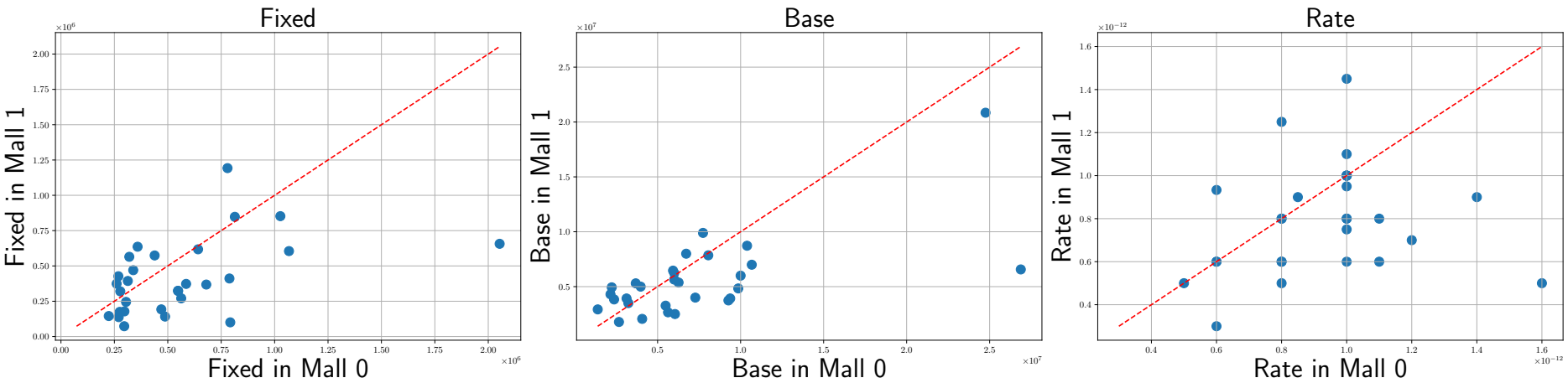
# All Rent Structures

back to mixed type contract



# Common Brands

back to descriptive stats




| Contract Type | 1 | 2 | 3 | 5 | 6 | 7 | 8 |
|---|---|---|---|---|---|---|---|
| **Mall 0** | 2 | 0 | 10 | 58 | 2 | 1 | 2 |
| **Mall 1** | 7 | 1 | 11 | 44 | 0 | 7 | 0 |

Table: Distribution of Rent Structures of Common Brands by Malls

# Obs. 3 : Little Concern of Moral Hazard

back to descriptive stats

- Regression: Sales $\sim$ Rate + Base + Fixed + Covariates
- A larger fixed rent amount is assigned to tenants with higher sales
  - *Selection* exists
- Sales remain unaffected by contract terms $\rightarrow$ Little concern of moral hazard

| | (1) Level | (2) Diff | (3) Diff / Change |
|---|---|---|---|
| Rate | -0.063 | -0.049 | -0.180 |
| | (0.219) | (0.222) | (0.374) |
| Base | 0.069 | 0.000 | 0.000 |
| | (0.206) | (0.000) | (0.000) |
| Fixed | 2.839** | 0.000 | 0.000 |
| | (1.319) | (0.000) | (0.000) |
| Observations | 197 | 197 | 156 |
| Adjusted $R^2$ | 0.992 | 0.964 | 0.967 |

# Example of Bargaining Frontier

back to model

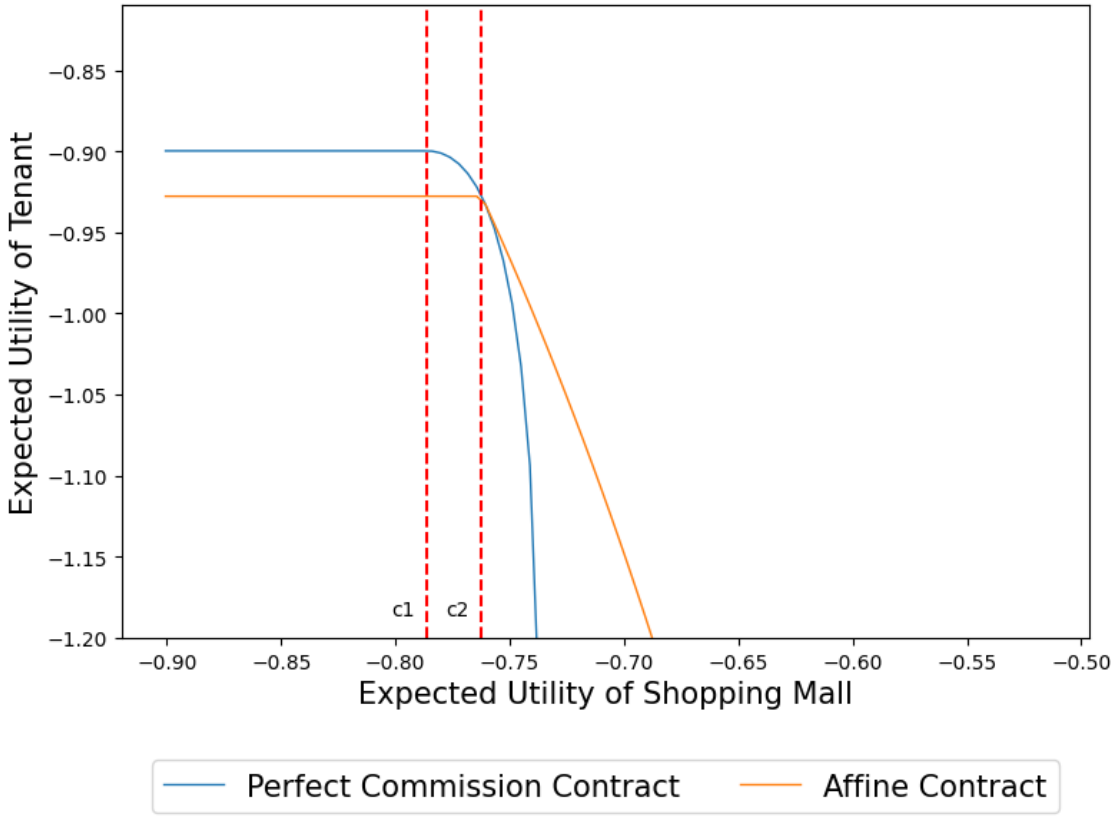



Figure: Pareto Frontiers for Perfect Commission Contracts and Affine Contracts

*Note*: Setting is as follows: $I = 1.0, J = 0.0, \sigma^2 = 2.0, \mu = 1.5$. The risk aversions are se
$\rho_T = 0.5$.

# Exit Offer

back to model

| Initial Offer \ Next Contract | **exit** | **same** | **up** | **down** | **updown** | **TOTAL** |
|---|---|---|---|---|---|---|
| **exit** | 52 | 3 | 1 | 2 | 2 | 60 |
| **same** | 15 | 137 | 11 | 13 | 13 | 189 |
| **up** | 6 | 60 | 49 | 5 | 6 | 126 |
| **down** | 5 | 6 | 5 | 11 | 5 | 32 |
| **updown** | 1 | 1 | 3 | 5 | 9 | 19 |
| **TOTAL** | 79 | 207 | 69 | 36 | 35 | 426 |

Table: Initial Offer and Resulting Contract

*Note*: The table presents the relationship between the first initial offer (rows) and the resulting contract type (columns). Both the initial offer and the resulting contracts are categorized into five groups: exit, same, up, down, and updown. The numbers in the cells indicate the count of contracts corresponding to each combination of initial offer and resulting contract.

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